

EU: Governments will blunt plans for more EU investment spending

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【メール原文】

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Despite the European Commission's best efforts, opposition from member states facing growing fiscal constraints will limit scope for a meaningful increase in EU investment funding in the next EU budget cycle (2028-34).

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Planned governance changes would mark a significant improvement, but a likely compromise will whittle down the overall size of the budget and the proposed increase in investment spending, resulting in only a modest uptick, despite the EU's large investment needs.

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Member states are rushing to reach a political agreement by early 2027, well ahead of elections in several key countries, which could significantly complicate the final stages of the approval process.

The proposed increase in the EU budget is smaller than it appears on paper. Last July, the European Commission proposed expanding the EU budget to €1.76 trillion, up from €1.24 trillion in 2021-2027 (2025 prices). In fact, this is a much smaller increase than it appears on paper, relative to the size of the EU economy, and after adjusting for inflation and planned repayment of common debt.

No major new round of common borrowing is likely. Moreover, the EU's regular 2021-2027 budget was topped up with a large debt-funded pandemic investment plan (Recovery and Resilience Facility, €830 billion in 2025 prices). This will remain a one-off, for now. After factoring that in, the new Multiannual Financial Framework (MFF) in fact implies a major downsizing.

Outstanding RRF debt may be partly rolled over, but the new budget will not feature common debt issuance on that scale. A proposed €150 billion EU credit line to fund national investments will likely be rejected.

The proposed distribution, if not the size, goes in the right direction. The Commission proposal would significantly reduce agricultural subsidies and "cohesion" funds (e.g., transfers to poorer regions), considered the less productive part of the budget, in favor of investment and R&D.

EU-level spending on research, infrastructure, industrial policy and defense would make up a third of the total—up from 18%. The bloc's flagship research program, Horizon Europe, and transport and energy infrastructure spending (Connecting Europe Facility) would double in size to €155 and €72 billion, respectively. EU defense funding would more than quadruple to €116 billion.

Proposed governance changes would be a significant leap forward. By adopting the governance of post-pandemic EU investment plans, the new budget would make spending more effective and more flexible, and raise absorption rates.

The new structure would fold myriad agricultural, cohesion, migration and climate funding strands into a single program tailored to each country, giving capitals significant leeway. In return, disbursements will be contingent on economic policy commitments. A quarter of each country's allocation would be held back to respond to shifting priorities. Similarly, 12 existing EU investment programs for industry would be wrapped into a single Competitiveness Fund (covering decarbonization, healthcare, digital, and defense), where the Commission would have significant discretion.

The governance overhaul is likely to survive the final EU budget deal. Both the European Parliament and the Council have broadly accepted these proposed changes to MFF governance and structure. This is remarkable given the breadth of the modifications. While disagreements remain over the details, the broad contours of the Commission's proposal are likely to be accepted.

EU member states will push to reduce both overall size and relative share of investment funding. A large group of 16 Eastern and Southern countries (mostly net recipients) support an increase but oppose cuts to cohesion and agriculture. Northern member states (mostly net contributors) support the shift towards investment but want to keep the overall size stable at 2021-2027 levels. Germany, in particular, opposes any increase in national contributions. The European Parliament is calling for a further expansion, but has little sway. Eventually, a likely compromise will involve a smaller increase to the overall budget and some ringfencing of cohesion and agricultural funds, to the detriment of investment spending.

New EU-level revenues will likely disappoint. To finance the proposed modest increase in real spending and EU debt repayments without significantly raising national contributions, the Commission is proposing to raise as much as €400 billion via new revenues for the EU. Less than half that figure is attainable. National governments oppose shifting existing national revenues to the EU, as much as new EU-collected taxes—such as a proposed EU-wide corporate tax or digital services tax.

A delay into 2027 could imperil the adoption of the budget. Member states are rushing to reach a compromise before December or early 2027, paving the way for negotiations with the European Parliament and final adoption in the first half of 2027. From April onwards, elections in several key countries would further complicate an agreement. At best, the Council is likely to reach a political agreement on its position by then.

Final adoption of the MFF regulation and parallel revenue measures decision is unlikely before well into 2027. Both require unanimity in the Council. The latter touches on national finances and requires national approval, including by some national parliaments. Elections in France, in particular, could become a serious impediment given the Rassemblement National's stated aim of freezing Paris' budget contribution. In a worst-case scenario, failure to finalize the MFF before the new budget cycle in January 2028 would cause the current budget ceilings to be rolled over.

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